# FINANCIAL PERFORMANCE DASHBOARD

## Model Documentation, README & CFO Findings

Trailing-Twelve-Month FP&A Reporting Pack

Reporting period: 12 months ended July 2024 · Model horizon: Jan 2023 – Dec 2025

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# Contents

# 1. Executive Summary

The Financial Performance Dashboard is a one-click FP&A reporting pack built in Excel with Power Query, Power Pivot, and DAX. It consolidates four departmental income statements (and their budget twins) into a single management view, comparing trailing-twelve-month actuals against three benchmarks — the operating budget, the prior period, and the prior year — across Revenue, Gross Profit, and EBITDA, and decomposing operating spend by department and by cost type.

The figures throughout this document are drawn from the sample dataset shipped with the template, which is generated by growth-driver assumptions on the department tabs. They illustrate what the dashboard surfaces and will change once live actuals are loaded. On that sample data, reported for the twelve months ended July 2024, the business is growing the top line but is not yet profitable: solid revenue momentum offset by a significant gross-margin shortfall versus plan, partially rescued at the operating line by disciplined cost control.

### The numbers in one view

| Metric (TTM, $) | Actual | Budget | Δ vs Budget | vs PY |
|---|---|---|---|---|
| Revenue | 801,118 | 806,240 | (5,122) | +12.1% |
| Gross Profit | 659,664 | 782,846 | (123,182) | +18.1% |
| Gross Margin | 82.3% | 97.1% | -14.8 pts | — |
| Operating Expenses | 714,150 | 942,212 | 228,062 | — |
| EBITDA | (54,486) | (159,366) | 104,879 | +51.1% |
| Net Income | (130,991) | — | — | — |

*Δ vs Budget shown in dollars; a negative income variance is unfavourable, a positive expense variance (under-spend) is favourable. Margin compression is the dominant theme.*

### Three things leadership should take away

1. **Revenue is healthy; the margin is not.** Revenue landed within ~1% of plan and grew double digits year-over-year, but gross margin came in at 82.3% against a budgeted 97.1% — roughly 15 points of compression that erased $123k of planned gross profit.
2. **Cost discipline cushioned the loss.** Operating expenses were $228k (24%) under budget, which converted a budgeted EBITDA loss of $(159k) into a smaller actual loss of $(54k).
3. **The company is still unprofitable.** After $(76k) of net other expense — dominated by $74k of interest — the business posted a net loss of $(131k). Profitability hinges on fixing gross margin, not on further cost-cutting.

# 2. README — What This Model Is & How to Use It

## 2.1 Purpose

This workbook is a monthly, one-click FP&A reporting dashboard. Four departmental income statements (and their budget twins) are unpivoted in Power Query, loaded into the Power Pivot data model, related through lookup tables, and summarised with DAX measures. The Dashboard then reads those measures through pivot tables and presents a budget-versus-actual (BvA), actual-versus-prior-period (AvPP) and actual-versus-prior-year (AvPY) view for the key profit metrics, plus an operating-expense breakdown by department and by cost category. The only cell a user normally changes is a single "Current Month" input.

## 2.2 Workbook map

| Sheet | Role | Type |
|---|---|---|
| Dashboard | The presentation layer. Slicer-driven KPI tiles and variance tables for Revenue, Gross Profit and EBITDA, plus opex by department and cost type. | Output / report |
| Data | Hosts the pivot tables that expose the DAX measures (the BvA, AvPP and AvPY blocks). The Dashboard reads its values from here. | Calculation |
| List | Reference layer: chart-of-accounts mapping (account → section → grouping → sign), department/metric/version lists, the period table, predefined dates, and the single Current Month input. | Reference / config |
| G&A, R&D, CS, S&M | Actual monthly income statements for the four departments (General & Administrative, Research & Development, Customer Support, Sales & Marketing). | Input / calc |
| …_Budget (×4) | Budget-version income statements for the same four departments, driven by their own assumption set. | Input / calc |

The four departments and their budget twins give eight P&L sheets. Each runs 36 monthly columns from January 2023 through December 2025. Note that the Power Pivot data model and the Power Query queries are not worksheets — they live inside the workbook and are edited via Data → Manage Data Model and Data → Queries & Connections.

## 2.3 How the engine works

There are two layers worth understanding. The first generates the data; the second reports on it.

### Layer 1 — the sample-data tabs

Each line item on a department tab is projected forward from a seed value using a single monthly growth driver:

```
line(month) = line(prior month) × (1 + monthly growth rate)
```

The growth rate sits in column C (the assumption), the seed value sits in column E (the first month), and columns F onward carry the recursive formula =PriorColumn*(1+$C). This is how the included sample P&L is produced. In a live deployment these projected values are replaced by actuals exported from the accounting system — nothing downstream changes.

### Layer 2 — the reporting engine (Power Query → Power Pivot → DAX)

Power Query unpivots each tab into a tidy Account / Date / Amount table, adds a Department column, and appends the four departments into one actuals fact table and one budget fact table. Those load into the Power Pivot data model, where they are related to lookup tables (date, account mapping, departments). DAX measures then handle all period logic and variances, and pivot tables on the Data sheet expose the results. The Dashboard never references the department tabs directly — it reads measures via the pivot tables, which keeps the presentation layer insulated from the raw data.

## 2.4 The single input & reporting windows

The only cell a user needs to touch is one blue input on the List sheet — Current Month (a workbook-scoped named range, e.g. 7/31/2024). A predefined-dates table derives every other date from it with EOMONTH / DATE formulas, so changing that one cell re-points the whole model. The Period slicer then selects the window: Current Month, Trailing 3 / 6 / 12 Months, YTD, or a full year, each with matched Prior-Period and Prior-Year equivalents. The figures in this document use the Trailing-12-Month window ending July 2024 (so the prior-year comparison is the twelve months ending July 2023).

## 2.5 Using & refreshing the model

- **Re-point the period:** change the single Current Month input cell on the List sheet, then Data → Refresh All.
- **Switch the window / benchmark:** click the Period slicer; use the Department slicer/timeline to filter.
- **Load real data:** replace the projected values on the department tabs with your actuals and budget, then Refresh All so Power Query re-imports and the model recalculates.
- **Add an account:** add the line to the department tab and register it in the Mappings table with its Section, Summary Grouping and Sign (+1 income / −1 expense), so the roll-ups pick it up.
- **Always Refresh All before distributing** so slicer-driven values and the Hit / Miss labels are current.

# 3. Technical Documentation

## 3.1 Build methodology & data flow

The workbook follows a standard Power Query → Power Pivot → DAX pipeline across three tiers:

**Inputs** (8 P&L tabs) → **Engine** (Power Query unpivot/append → Power Pivot model + DAX) → **Output** (pivot tables → Dashboard)

The build sequence, in order: (1) each actual and budget tab is turned into a named range; (2) Power Query loads each range, promotes headers, drops the blank column, and unpivots the monthly columns into an Account / Date / Amount table; (3) a Department column is added; (4) the four actual queries are appended into Departmental P&L and the four budget queries into Departmental P&L Budget; (5) both append queries are loaded to the Power Pivot data model; (6) lookup tables and relationships are built; (7) DAX measures are authored; (8) pivot tables on the Data sheet expose the measures and the Dashboard pulls values into shapes, KPI text boxes and pivot charts. The Dashboard never references the department tabs directly.

## 3.2 The data model

Two fact tables and a set of lookup/helper tables sit inside the Power Pivot data model (not on any worksheet):

| Table | Kind | Purpose |
|---|---|---|
| Departmental P&L | Fact | All actuals, unpivoted and appended across the four departments. |
| Departmental P&L Budget | Fact | All budget figures, same shape. |
| Date (calendar) | Lookup | Auto-generated date table; one row per day across the data range. |
| Mappings | Lookup | Account → Section → Summary Grouping → Sign (+1 income / −1 expense). |
| Departments | Lookup | The four departments. |
| Table View | Helper | Feeds the period slicer (no relationship — wired via measures). |
| Predefined Dates | Helper | Pre-computed start/end dates for every window, referenced by measures. |

Relationships: Date[Date] joins both fact tables on Date; Mappings[Account] joins both on Account; Departments[Department] joins both on Department. Because the lookup tables sit in the middle, selecting any date, section, grouping or department filters both fact tables consistently.

## 3.3 The chart-of-accounts spine

The List sheet is the backbone that makes the roll-ups consistent. Each general-ledger account is mapped to a Section (Income, Cost of Goods Sold, Expenses, EBITDA, Other Income/Expense, Net Income), a Summary Grouping (e.g. Payroll, Advertising, Other G&A, Professional Fees) and a Sign (+1 for income, −1 for expense). The sign convention is what lets the same additive logic produce correct subtotals for both revenue and cost lines.

## 3.4 Cost-type taxonomy

Operating spend is rolled into four reporting cost categories, regardless of which department incurs it:

| Cost category | Representative underlying accounts |
|---|---|
| Payroll | Salary & Wages, Payroll Taxes, Health Insurance, Payroll Processing Fees, Commissions |
| Advertising | Advertising & Marketing, Conferences & Events |
| Professional Fees | Accounting, Consulting, Legal, Recruiting, Professional Services |
| Other G&A | Software & Apps, Rent & Lease, Utilities, Office, Insurance, Travel/Meals, Bank Charges, Taxes & Licenses |

## 3.5 Metric definitions

- **Revenue** — total billings across all departments (sign +1).
- **Gross Profit** — Revenue less Cost of Goods Sold (hosting/merchant/web-domain fees).
- **EBITDA** — Gross Profit less total operating expenses (labelled “Net Operating Income” on the department sheets).
- **Net Income** — EBITDA plus Net Other Income, which here is dominated by interest and depreciation expense.

## 3.6 Sample-data assumptions

The shipped sample data is generated by monthly growth rates in column C of each tab. These are illustrative template assumptions, not real terms — they are replaced when live data is loaded. A representative sample from the G&A actual tab:

| Driver | Monthly rate | Behaviour |
|---|---|---|
| Revenue / Sales | 3.0% | Compounding top-line growth |
| Merchant / processing fees | 10.0% | Scales fast — sample margin drag |
| Salary & Wages | 5.0% | Largest single opex driver |
| Software, Supplies | 5.0% | Tooling creep |
| Interest Expense | 10.0% | Compounding — the main drag below EBITDA |
| Most G&A lines | 3.0% | General inflation assumption |

## 3.7 Measures & conditional charts

Period selection is driven entirely by DAX. A Selected View measure reads the period slicer with VALUES(...); an Actual measure then uses a SWITCH to return the matching period measure (e.g. Trailing 12 Months → the Trailing-12-Month value measure). This is what lets the slicer drive the numbers without a relationship on the period table.

Two variance flavours keep “good” and “bad” intuitive. For income accounts the variance is Actual − Budget (positive is favourable); for expense accounts it is Budget − Actual (a positive figure is an under-spend, which is favourable). The donut gauges use a small four-series helper block — A(+), B(+), A(−), B(−) — where A is the value and B is its inverse (1 − value), each clamped to the range

0–1 with MIN / MAX. A favourable variance fills the green arc, an unfavourable one fills red, and the B remainder shows grey; the hole is set near 90% so it reads as a gauge.

# 4. CFO Findings & Variance Analysis

*The analysis below is computed on the template’s sample dataset. It demonstrates the read-outs the dashboard produces; replace the sample figures with live actuals before drawing real conclusions.*

## 4.1 Budget vs Actual — profit metrics

| BvA (TTM, $) | Budget | Actual | Variance | % |
|---|---|---|---|---|
| Revenue | 806,240 | 801,118 | (5,122) | -0.6% |
| Gross Profit | 782,846 | 659,664 | (123,182) | -18.7% |
| EBITDA | (159,366) | (54,486) | 104,879 | +65.8% |

Revenue essentially hit plan. Gross profit missed by $123k — and because revenue did not miss, the entire shortfall is a cost-of-goods problem: budgeted COGS implied a ~3% cost of delivery, while actual COGS ran at ~18% of revenue. This is the single most important finding in the pack. EBITDA nonetheless beat its (loss-making) budget by $105k because operating expenses came in far below plan.

## 4.2 Operating expenses vs Budget — by department

| Department | Budget | Actual | Under/(Over) | % |
|---|---|---|---|---|
| Customer Support | 151,804 | 82,873 | 68,931 | 45% |
| Sales & Marketing | 357,781 | 257,849 | 99,933 | 28% |
| Research & Development | 184,162 | 154,098 | 30,064 | 16% |
| General & Administrative | 248,465 | 219,330 | 29,134 | 12% |
| **Total OpEx** | **942,212** | **714,150** | **228,062** | **24%** |

Every department spent under budget. Customer Support is the largest proportional under-spend (45%), and Sales & Marketing the largest absolute under-spend ($100k). A note of caution: under-spend on S&M and CS is not automatically good news. If the revenue and margin shortfall is partly a consequence of under-investing in go-to-market and customer success, then the “favourable” opex variance is masking a growth problem rather than reflecting genuine efficiency.

## 4.3 Operating expenses vs Budget — by cost type

| Cost type | Budget | Actual | Under/(Over) | % |
|---|---|---|---|---|
| Advertising | 245,241 | 130,261 | 114,980 | 47% |
| Other G&A | 292,884 | 212,909 | 79,975 | 27% |
| Payroll | 327,740 | 264,464 | 63,276 | 19% |
| Professional Fees | 76,346 | 106,516 | (30,170) | (40%) |
| **Total OpEx** | **942,212** | **714,150** | **228,062** | **24%** |

**Professional Fees is the only category over budget — by $30k (40%).** Against a backdrop of universal under-spend everywhere else, this is the one controllable line that ran hot, and it warrants a drill-down into which sub-account (legal, consulting, recruiting or accounting) drove the overage and whether it is recurring.

### 4.4 Momentum — vs Prior Period and Prior Year

| Growth vs… | Revenue | Gross Profit | EBITDA |
|---|---|---|---|
| Prior Period | +7.2% | +5.8% | +9.6% |
| Prior Year | +12.1% | +18.1% | +51.1% |

The trend lines are encouraging: revenue, gross profit and EBITDA all improved both sequentially and year-over-year. Gross profit is growing faster than revenue year-over-year (+18% vs +12%), which means margin is recovering relative to last year even though it remains below plan. EBITDA losses are narrowing quickly (+51% improvement YoY). The trajectory is toward break-even — the question is how fast.

### 4.5 Below the line — what turns EBITDA into a net loss

| Item | $ | Comment |
|---|---|---|
| EBITDA | (54,486) | Operating loss |
| Net Other Income / (Expense) | (76,505) | Mostly interest |
| of which Interest Expense | (74,437) | Compounding at 10%/mo in the model |
| **Net Income** | **(130,991)** | Bottom-line loss |

Roughly 58% of the net loss sits below EBITDA, driven almost entirely by interest expense. Even a perfectly executed operating plan would not reach net profitability at the current debt-service load. Capital structure — not just operations — is part of the profitability equation here.

## 5. Recommendations & Proposed Solutions

The following actions are ordered by impact on the path to profitability. Each pairs a finding with a concrete next step an FP&A team can execute.

### Priority 1 — Diagnose and close the gross-margin gap

- **Finding:** 82.3% actual gross margin vs 97.1% budget; ~15 points / $123k of lost gross profit, with revenue on plan.
- **Action:** Run a COGS bridge by sub-account (hosting, merchant fees, web-domain). The 10%/month merchant-fee driver compounds aggressively and is a prime suspect. Re-baseline the budget COGS assumption, which at ~3% of revenue was almost certainly unrealistic.

### Priority 2 — Investigate the Professional Fees overrun

- **Finding:** the only over-budget category, +$30k (40%).
- **Action:** Drill into legal / consulting / recruiting / accounting sub-lines, confirm whether the spend is one-off (e.g. a financing or hiring event) or structural, and either reforecast or put it under approval control.

### Priority 3 — Re-test the opex under-spend for hidden growth cost

- **Finding:** $228k (24%) under budget, concentrated in S&M and Customer Support and in Advertising.
- **Action:** Correlate the advertising / S&M under-spend with the revenue-versus-plan miss. If reduced go-to-market investment is constraining growth, a portion of this “saving” should be redeployed; if it reflects genuine efficiency, lock it into the next budget.

### Priority 4 — Address the capital structure

- **Finding:** $74k interest expense is the largest single driver of the net loss and compounds in the model.
- **Action:** Model a refinancing / deleveraging scenario and quantify the net-income impact. Confirm whether the compounding 10% monthly interest driver reflects real terms or is a modelling placeholder that overstates the drag.

### Priority 5 — Build the break-even bridge

- **Action:** Using the existing AvPY momentum (+51% EBITDA improvement YoY), project the month in which EBITDA and then net income cross zero, and identify the two or three levers (margin recovery, S&M efficiency, interest reduction) that move that date most.

# 6. Model Integrity & Limitations

The model is well-structured and the major subtotals tie out (Revenue − COGS = Gross Profit; Gross Profit − OpEx = EBITDA). A few items should be cleaned up before the pack is relied on for external reporting:

### Items to fix or confirm

1. **Inconsistent variance-percentage basis.** The Dashboard expresses opex variance as a percentage of budget, while the Data sheet expresses the same variance as a percentage of actual. Identical dollar variances therefore show different percentages depending on where you read them. Standardise on one denominator (variance ÷ budget is conventional).
2. **Sales & Marketing variance % displays as 0.** In the by-department block the S&M percentage cell renders as zero despite a real $100k dollar variance — a broken or blank formula that should be repaired so the tile is not misleading.
3. **Budget COGS assumption looks unrealistic.** A budgeted ~97% gross margin (≈3% cost of delivery) is the root of the headline “miss.” Part of the variance is an over-optimistic plan rather than an operational failure; re-baseline before judging performance.
4. **Compounding drivers need real-world sanity checks.** Several lines (merchant fees, interest) grow at a fixed 10% per month, which compounds to very large values over the 36-month horizon. Confirm these reflect actual contractual behaviour rather than placeholders.
5. **Hardcoded seeds are undocumented.** Starting values in column E carry no source notes. Add a brief source/derivation comment per the model’s own input-documentation standard so the assumptions are auditable.

### Scope limitations

- The workbook is income-statement-only — there is no balance sheet or cash-flow statement, so liquidity and runway cannot be read directly from it.
- Figures are model-generated (driver-projected), not a feed from the accounting system; treat them as a planning view rather than audited actuals.
- All amounts are in whole currency units as stored; no currency or rounding convention is declared in the file.

*Prepared as model documentation and an analyst findings memo for Financial_Performance_Dashboard.xlsx. All figures use the template’s sample dataset for the twelve months ended July 2024 unless otherwise stated.*